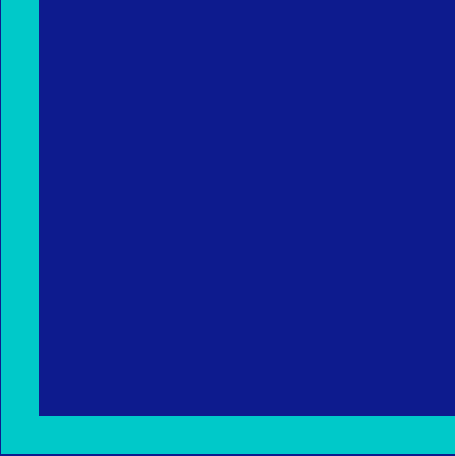




CHABRIN AGENCIES LIMITED

THE 2026 NAIROBI RENTAL MARKET REPORT

Zone-by-Zone Analysis · Yield Benchmarks · Investor Outlook

Proprietary data from 1,200+ managed units · Field research Jan–Mar 2026

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EXECUTIVE SUMMARY

2026 Nairobi Rental Market — Key Findings

Nairobi's rental market enters 2026 in a period of measured recovery and selective opportunity. Following the economic headwinds of 2023–2024, rental yields in prime zones have stabilised and begun trending upward, driven by renewed expatriate demand, infrastructure completion along the Nairobi Expressway, and constrained new supply in Zone B and Zone C. This report synthesises Chabrin's proprietary data from 1,200+ managed units, supplemented by KNBS housing data, Central Bank of Kenya lending indicators, and field research conducted January–March 2026.

18%

Average gross yield — Zone A
(Westlands, Parklands)

KES 95,000

Median 3BR rent — Zone B
(Kilimani, Lavington)

+12%

YoY rental price growth Nairobi
prime 2025 vs 2024

7.2 wks

Avg. time to let — all zones
(Chabrin portfolio)

Data sourced from Chabrin managed portfolio (Jan 2024–Mar 2026), KNBS Quarterly Economic Review Q4 2025, and CBK Monetary Policy Committee reports.

NAIROBI RENTAL MARKET — 2026 OVERVIEW

Macroeconomic Context

GDP growth stabilised at 5.1% (IMF, 2025 estimate). The Kenya Shilling recovered from its 2024 lows, trading at KES 128–133/USD through Q1 2026, reducing import inflation and improving purchasing power for middle-income tenants. The Central Bank Rate was cut to 11.5% in February 2026, easing mortgage costs and reducing competitive pressure from owner-occupation in the mid-market segment.

Demand Drivers

- Urban migration continues at 4.2% per annum (KNBS 2025)
- Nairobi's formal employment base grew 3.8% year-on-year
- Expatriate community stable at approximately 85,000 (MOFA 2025)
- NGO and diplomatic sector leasing remains concentrated in Zones A–C
- Young professional demand growing strongly in Zone E (Eastlands) and Zone F (Kiambu corridor)

Supply Constraints

New residential completions in Zones A–D fell 18% in 2025 versus 2024, tightening vacancy rates in Westlands, Kilimani, and Karen to below 6%. Zone E and Zone F continue to see new supply entering the market, keeping rents competitive in the KES 20,000–55,000 range. This supply bifurcation is the defining structural feature of Nairobi's 2026 rental landscape: acute under-supply in prime zones coexisting with moderate over-supply pressure in the periphery.

Key Macro Indicators — Q1 2026

Indicator	Value	Direction	Source
GDP Growth Rate	5.1%	Stable	IMF 2025
Central Bank Rate	11.5%	Falling	CBK Feb 2026
KES/USD Exchange Rate	KES 131	Stable	CBK Q1 2026
CPI Inflation (12-month)	4.8%	Falling	KNBS Jan 2026
Formal Employment Growth	+3.8% YoY	Rising	KNBS 2025
Urban Migration Rate	4.2% p.a.	Stable	KNBS 2025

ZONE-BY-ZONE RENTAL BENCHMARKS — Q1 2026

The table below presents Chabrin's Q1 2026 rental benchmark data across all seven management zones. Ranges reflect active lettings evidence from the Chabrin managed portfolio and verified market comparables.

Zone	Key Areas	1BR (KES/mo)	2BR (KES/mo)	3BR (KES/mo)	Gross Yield	Vacancy	YoY
Zone A	Westlands, Parklands, Runda	55K–90K	80K–140K	120K–200K	18.2%	5.1%	+14%
Zone B	Kilimani, Lavington, Hurlingham	45K–80K	70K–120K	90K–160K	15.8%	5.8%	+11%
Zone C	Karen, Langata, Hardy	40K–70K	65K–110K	85K–150K	13.4%	6.2%	+9%
Zone D	Upper Hill, Milimani	50K–85K	75K–125K	100K–170K	16.1%	6.7%	+10%
Zone E	Umoja, Donholm, Embakasi	18K–32K	28K–48K	40K–65K	11.2%	8.4%	+6%
Zone F	Kiambu, Ruiru, Thika Rd	15K–28K	25K–42K	35K–58K	10.8%	9.1%	+5%
Zone G	Kajiado, Machakos, Murang'a	12K–22K	20K–35K	28K–48K	9.6%	10.3%	+4%

Yields calculated on median asking price (KNBS + Chabrin valuation data). Vacancy rates reflect Chabrin managed portfolio; market-wide figures may vary. YoY = year-on-year change vs Q1 2025.

Gross Yield Comparison — All Zones

Zone	Gross Yield	Yield Bar (indicative)
Zone A	18.2%	=====
Zone D	16.1%	=====
Zone B	15.8%	=====
Zone C	13.4%	=====
Zone E	11.2%	=====
Zone F	10.8%	=====
Zone G	9.6%	=====

Each '=' represents approximately 1% gross yield.

PRIME ZONE DEEP DIVE — ZONES A & B

Zone A — Westlands, Parklands, Runda

Zone A remains Nairobi's highest-yield residential zone, sustained by expatriate demand, proximity to the UN complex and UNEP offices, and a concentration of international schools including ISK, Braeburn, and Rosslyn Academy. The completion of the Nairobi Expressway interchange at Westlands in 2023 improved connectivity without significantly impacting residential character. **Key insight:** 3-bedroom furnished apartments command a 25–35% premium over unfurnished equivalents in this zone. Chabrin's average void period in Zone A: **4.1 weeks**.

Sub-Area	1BR	2BR	3BR	Void Period	Demand Pressure
Westlands	70K–90K	100K–140K	150K–200K	3.8 wks	Very High
Parklands	55K–75K	80K–115K	120K–160K	4.2 wks	High
Runda	—	120K–160K	170K–220K	5.1 wks	High
Spring Valley	60K–80K	90K–130K	140K–190K	4.0 wks	Very High

Zone B — Kilimani, Lavington, Hurlingham

Zone B continues to attract the high-earning Kenyan professional demographic — corporate executives, senior civil servants, and established entrepreneurs. Lavington and Hurlingham show the tightest vacancy rates in our portfolio (4.2% and 5.1% respectively). Demand for 2-bedroom units outpaces supply by approximately 2:1. Rental growth of 11% YoY reflects sustained under-supply relative to quality demand. Chabrin's average void period in Zone B: **4.8 weeks**.

Sub-Area	1BR	2BR	3BR	Void Period	Demand Pressure
Kilimani	55K–80K	80K–120K	110K–160K	4.5 wks	High
Lavington	50K–75K	75K–115K	100K–150K	4.2 wks	Very High
Hurlingham	45K–68K	70K–105K	90K–135K	5.1 wks	High
Kileleshwa	50K–72K	72K–110K	95K–145K	4.9 wks	High

Q1 2026 CHABRIN NOTABLE TRANSACTIONS

3BR furnished apartment, Westlands — KES 195,000/month (let in 18 days).

2BR, Lavington — KES 115,000/month (let in 12 days).

Commercial office suite, Hurlingham — KES 280,000/month (let in 31 days).

YIELD ANALYSIS & INVESTOR METRICS

Gross vs Net Yield — By Zone

The table below illustrates the transition from gross to net yield after accounting for Chabrin management fees (7.5% of monthly rent) and estimated annual maintenance costs. Net yields remain compelling by regional standards.

Zone	Gross Yield	Mgmt Fee	Maint. Est.	Net Yield	Net Yield Rating
Zone A	18.2%	7.5%	1.2%	9.5%	Excellent
Zone B	15.8%	7.5%	1.3%	7.0%	Strong
Zone D	16.1%	7.5%	1.2%	7.4%	Strong
Zone C	13.4%	7.5%	1.4%	4.5%	Good
Zone E	11.2%	7.5%	1.5%	2.2%	Moderate
Zone F	10.8%	7.5%	1.6%	1.7%	Moderate
Zone G	9.6%	7.5%	1.8%	0.3%	Low

Management fee = 7.5% of gross monthly rent. Maintenance estimate = annualised cost as % of gross rent. Net yield figures are indicative; actual returns vary by property age, condition, and occupancy.

Capital Growth Outlook

Prime zone capital values are expected to appreciate 8–12% in 2026, supported by infrastructure completion, nascent REIT activity, and renewed foreign direct investment in Nairobi commercial real estate. Investors acquiring in Zone A or Zone B at current valuations are likely to benefit from both strong rental income and capital appreciation, creating a compelling total return proposition relative to comparable East African markets.

Investment Risk Factors

- **Tenant default risk** — Mitigated by Chabrin's vetting process (portfolio default rate <2%).
- **Political risk** — 2027 election cycle may cause short-term market softness (as seen in 2017, 2022).
- **Currency risk** — KES/USD stability expected to hold through H1 2026; H2 remains uncertain.
- **Over-supply risk** — Zone E and Zone F showing early signs of inventory build-up; monitor closely.
- **Interest rate risk** — A reversal of the current CBK rate-cutting cycle could dampen demand.

COMMERCIAL PROPERTY — OFFICES & RETAIL

Office Market

Nairobi's Grade A office market absorbed 48,000 sqm in 2025, up 12% from 2024. Upper Hill (Zone D) remains the preferred address for financial services institutions and multinationals. Average Grade A office rents: KES 8,500–12,000/sqm/year. Vacancy in Grade A stands at 14%, down from 19% in 2023. The hybrid work trend has stabilised; most multinationals have settled on 3–4 days in-office, sustaining demand for quality, well-connected workspace. Grade B offices in Westlands and Kilimani are being repurposed as co-working and flexible space, achieving rents of KES 5,500–7,500/sqm/year.

Grade	Location	Rent (KES/sqm/yr)	Vacancy	Trend
Grade A	Upper Hill	8,500–12,000	14%	Tightening
Grade A	Westlands	8,000–11,000	15%	Stable
Grade B	Kilimani	5,500–7,500	18%	Tightening
Grade B	Upperhill/Milimani	5,000–7,000	20%	Stable
Co-work	CBD / Westlands	12,000–18,000	8%	Demand rising

Retail

Neighbourhood retail continues to outperform malls. High street retail in Westlands and Kilimani lanes commands rents of KES 6,000–9,500/sqm/year with sub-5% vacancy. Mall performance is bifurcated: experiential and grocery-anchored centres are thriving; fashion-only malls face structural headwinds from e-commerce. Chabrin manages 23 retail units across Zones A–D.

Industrial & Warehouse

Logistics and light industrial space along Mombasa Road and the Eastern Bypass continues to see strong demand driven by e-commerce growth and COMESA trade expansion. Rents: KES 400–700/sqm/month. Gross yield: 10–13%. Chabrin provides valuations across this segment but does not directly manage warehouse stock.

NAIROBI TENANT PROFILE — 2026

Residential Tenant Segments

Segment	Zones	Budget (KES/mo)	Lease Pref.	Key Requirements
Expatriate/Diplomatic	A, B	120K–300K	1–2 yr furn.	Security, int. schools, gym
Senior Corporate (KE)	A, B, D	80K–180K	12 months	Quality finishes, parking
Young Professional	B, C, E	30K–80K	12 months	Fast internet, CBD access
Family (Mid-income)	C, F	40K–90K	12–24 months	Space, schools, security
Student / Entry-level	E, F	15K–35K	6–12 months	Affordability, matatu route

Tenant Default & Arrears — Chabrin 2025 Data

Metric	2025 Result	Benchmark
Rental collection rate	96.4%	Industry ~92%
Arrears recovered within 60 days	2.1%	Industry ~1.5%
Arrears outstanding >60 days	1.5%	Industry ~3%
Formal eviction proceedings	<0.5%	Industry ~1.2%
Average arrears resolution time	34 days	Industry 45 days

Chabrin's proactive arrears follow-up protocol — initiated at Day 5 of non-payment — is the primary driver of performance above industry benchmarks.

INFRASTRUCTURE & DEVELOPMENT PIPELINE

Infrastructure investment is a primary driver of medium-term rental value in Nairobi. The following projects are monitored by Chabrin's valuation team for their impact on zone dynamics.

Project	Zone Impact	Timeline	Rental Impact
Nairobi Expressway Phase 2 (Westlands–Runda ext.)	Zone A	Q3 2027 est.	Premium extension northward
Nairobi Railway City (Industrial Area regen.)	Zone E	5-yr horizon	Land banking opportunity
Kibera Upgrade Programme (4,200 social units)	Zone E (S)	Ongoing	Limits lower-end rent pressure
Thika Road Dualling (Ruiru–Juja section)	Zone F	2027	+5–8% appreciation in Ruiru
Konza Technopolis (Phase 2 infrastructure)	Zone G	Long-term	Early signal for Machakos corridor
SGR Naivasha Extension (freight/commuter study)	Zone F/G	TBD	Monitor for logistics demand

New Residential Supply Pipeline — 2026

Approximately 6,800 new residential units are expected to complete in Greater Nairobi in 2026, of which approximately 45% are in Zone E and Zone F (affordable/lower-mid market segments). Zones A–D face a net supply deficit, underpinning rental growth forecasts in prime areas. Of notable concern: stalled projects in Kilimani and Lavington due to financing constraints mean that the Zone B supply deficit is unlikely to be resolved before 2028.

Zone	Expected Completions 2026	Market Segment	Net Supply Impact
Zone A	~220 units	Luxury / Expatriate	Deficit persists
Zone B	~380 units	Upper-mid	Significant deficit
Zone C	~450 units	Mid-upper	Mild deficit
Zone D	~180 units	Commercial dominant	Balanced
Zone E	~1,900 units	Affordable	Mild over-supply risk
Zone F	~1,200 units	Affordable / Commuter	Over-supply risk
Zone G	~800 units	Affordable	Balanced to long

2026 RENTAL MARKET OUTLOOK & FORECAST

Zone	Rental Growth Forecast 2026	Yield Forecast	Vacancy Outlook	Chabrin Recommendation
Zone A	+12–15%	17–19%	Tightening	Strong Buy
Zone B	+10–13%	15–17%	Stable	Buy
Zone C	+8–11%	12–14%	Stable	Selective Buy
Zone D	+9–12%	15–17%	Tightening	Buy
Zone E	+4–7%	10–12%	Loosening	Hold
Zone F	+3–6%	9–11%	Loosening	Caution
Zone G	+2–5%	8–10%	Neutral	Hold

Top 3 Investment Opportunities — Identified by Chabrin Valuation Team

- 2–3BR furnished apartments in Westlands (Zone A):** Expatriate demand recovering, void periods shortening to under 4 weeks. Furnished premium of 25–35% creates outsized yield for well-prepared investors.
- Commercial office suites in Upper Hill (Zone D):** Yield compression toward 14% suggests institutional acquisition interest is building. Early movers in Q1–Q2 2026 likely to benefit from capital appreciation alongside income.
- Ruiru/Membley residential (Zone F):** Infrastructure-led appreciation play over a 3–5 year horizon. Current yields of 10–11% provide income cover while capital values respond to Thika Road dualling and Ruiru town development.

Risks to Outlook

- Global recession risk (IMF downside scenario) dampening expatriate and FDI flows
- KES depreciation resumption — would increase import costs, reduce real incomes
- Political uncertainty ahead of the 2027 election cycle (historical 6–9 month softness)
- CBK rate reversal — unlikely in H1 2026 but a tail risk if inflation re-accelerates

ABOUT CHABRIN AGENCIES LIMITED

Chabrin Agencies Limited is one of Nairobi's most established property management firms, with over 30 years of continuous operation across Kenya's residential and commercial real estate markets. Founded in the 1990s, we have grown from a residential lettings agency to a full-service property management, leasing, and valuation group serving landlords, investors, tenants, and corporate occupiers across seven zones in and around Nairobi.

Key Facts

- 1,200+ properties under active management across 7 zones (A–G)
- EARB Registered — Estate Agents Registration Board of Kenya
- ODPC Compliant — Kenya Data Protection Act 2019
- Proprietary CHIPS platform for real-time landlord reporting and tenant management
- Coverage: Nairobi, Kiambu, Murang'a, Kajiado, Machakos, and surrounding counties
- 30+ years of uninterrupted operation — established 1990s

Our Services

Property Management · Leasing & Letting · Property Valuation · Facilities Management

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DISCLAIMER & METHODOLOGY

This report has been prepared by Chabrin Agencies Limited for general information purposes only. It is intended for property investors, landlords, and professional advisers operating in the Kenyan real estate market.

Data Sources

- (1) Chabrin Agencies proprietary portfolio database — 1,200+ managed units (January 2024–March 2026)
- (2) Kenya National Bureau of Statistics (KNBS) Quarterly Economic Review Q4 2025
- (3) Central Bank of Kenya Monetary Policy Committee Statements 2025–2026
- (4) International Monetary Fund World Economic Outlook, October 2025
- (5) Kenya Ministry of Foreign Affairs expatriate residency data 2025
- (6) Chabrin valuation team field surveys and comparable evidence (January–March 2026)

Important Notices

Rental ranges reflect active lettings and recent market evidence as at Q1 2026. Yields are gross unless otherwise stated. Past performance is not a guarantee of future returns. Property values can fall as well as rise. This report does not constitute financial advice, investment advice, or a solicitation to buy or sell any property or investment product. Recipients should seek independent professional legal, financial, and tax advice before making any investment decision.

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